01 / DEFINE THE MARKET + FIRST SEGMENT

TAM Segmentation Worksheet

Choose a market you can explain, a segment you can serve, and a short list worth researching.

Review date

Product or fictional practice scenario

Market universe

All organizations with the relevant need inside your stated boundary. Total addressable market (TAM) describes its full potential demand, often in annual revenue.

Serviceable segment

The part your product and team can serve today. Apply real limits such as supported regions, integrations, and company size.

Working account list

The accounts you can responsibly research and work now, after fit, ownership, and contact checks. A list is not a forecast of wins or revenue.

What problem does the product solve, and for which kind of business?

Market boundary + counting unit

Specify geography and use case. Count companies, sites, or seats consistently; do not mix them.

1. Write rules you can actually check

Start with business needs and observable company facts. Mark unknowns for research. Do not use protected or sensitive personal traits.

Industry + use case to include

Company-size range + why it matters

Serviceable region + product requirements

Exclusions + reason

2. Separate account fit from contact role

Account fit asks whether the company belongs in your segment. A contact persona describes a work role: who deals with the problem and what they own. A title alone does not prove authority or budget.

Likely function + responsibility

Question to check who owns the problem

> **For interview practice:** use a fictional scenario or public company facts. Label the finished work “practice sample.” Do not contact real prospects for the exercise or present it as client work.

02 / ESTIMATE A RANGE YOU CAN DEFEND

Keep the estimate honest.

A useful first estimate explains what was counted, where it came from, and which assumptions could change it.

> **Bottom-up annual market estimate**
> Eligible buying units × annual revenue per unit
>
> Use the full defined market for TAM. If you count only your first segment, label the result “segment estimate.” Neither is a sales target or a forecast.

Fictional arithmetic example: 800-1,200 eligible companies × USD 900-1,500 per company per year gives USD 720,000-1,800,000 in annual potential revenue. These are invented scenario bounds, not market statistics or a confidence interval. They assume every eligible company buys.

What does this estimate cover? Choose one.

◯ Full defined market (TAM) ◯ One serviceable segment

Eligible units: low to high

Annual price: low to high

Currency + unit (e.g. per company)

Calculation + rounded annual range

Low units × low price; high units × high price. Use plausible paired scenarios. Split and sum non-overlapping segments if pricing or fit differs.

3. Keep a small evidence log

For each input, record the source URL or approved internal reference, its data/publication date, and your check date. Keep private references inside approved company systems.

Count source + filters + dates

Check whether the source counts businesses, locations, contacts, or search results.

Price source + annualization method + dates

Planned or list price is an assumption, not proof of what buyers will pay. Separate one-time fees.

Largest uncertainty + what would change the estimate

4. Sanity-check the estimate

- ☐ I removed duplicate accounts, reconciled parent companies and sites, and avoided overlapping segments.
- ☐ I checked source coverage and age. A search result count or small convenience sample is not the whole market.
- ☐ I labeled assumptions, kept units and time periods consistent, and used “unknown” where evidence is missing.

03 / PRIORITIZE A SMALL ACCOUNT LIST

Decide what to check next.

Start with fit and evidence. News alone does not prove need, budget, or buying intent.

5. Try three fictional accounts

Scenario: a maintenance-scheduling tool for equipment repair shops with 10-75 employees, in your supported region, using a compatible inventory system. Everything in this exercise is invented.

Which account needs research first, and which should wait?

Account	Company evidence	Contact / gap
A	35-person repair shop. Current company page confirms supported region and compatible system.	Operations role found; scheduling ownership unknown.
B	55-person repair shop in supported region. Old directory listing; system unknown.	Relevant role not yet verified.
C	140-person repair shop in supported region. Recent expansion news.	Operations role found; company is outside size range.

Your order + next action for A, B, and C

Suggested reasoning: A: verify the role and ownership first. B: update company evidence and check the required system before outreach. C: exclude from this segment or ask your manager about another segment. An exciting signal does not override a fit rule.

6. Build your first three research rows

Use account names only, not personal contact details. Record source + date, mark unknowns, and choose research / ready for team review / hold / exclude.

Account 1 + fit evidence + source/date	Decision + next check + owner/date
Account 2 + fit evidence + source/date	**Decision + next check + owner/date**
Account 3 + fit evidence + source/date	**Decision + next check + owner/date**

> **Before an account becomes reachable:** check territory ownership, duplicates, customers and active deals, opt-outs, and approved channels. A publicly listed contact is not permission to contact them. Follow your team's policy and local requirements.

Further reading: Salesforce: TAM and market sizing · Salesforce: company profiles and buyer personas · Stripe: TAM, SAM, and SOM.
Original practice aid. More practice: Outflow: SDR proof-project ideas.